# FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES
State of Oklahoma

SPEAKER:

CHAIR:

I move to amend SB604 ______________________________
Of the printed Bill

Page __________ Section __________ Lines ______________
Of the Engrossed Bill

By deleting the content of the entire measure, and by inserting in lieu thereof the following language:

**AMEND TITLE TO CONFORM TO AMENDMENTS**

Amendment submitted by: Mike Dobrinski

Adopted: ______________________________

______________________________
Reading Clerk

STATE OF OKLAHOMA

2nd Session of the 60th Legislature (2026)

FLOOR SUBSTITUTE
FOR ENGROSSED
SENATE BILL NO. 604 By: Gollihare of the Senate

and

Dobrinski of the House

FLOOR SUBSTITUTE

An Act relating to motor vehicles; amending 47 O.S. 2021, Section 562, as last amended by Section 1, Chapter 119, O.S.L. 2025 (47 O.S. Supp. 2025, Section 562), which relates to definitions; merging multiple versions of statutes; modifying statutory reference; repealing 47 O.S. 2021, Section 562, as last amended by Section 2, Chapter 448, O.S.L. 2025 (47 O.S. Supp. 2025, Section 562), which relates to definitions; amending 47 O.S. 2021, Section 565.2, as last amended by Section 2, Chapter 145, O.S.L. 2024 (47 O.S. Supp. 2025, Section 565.2), which relates to termination, cancellation, or nonrenewal of a franchise; merging multiple versions of statutes; repealing 47 O.S. 2021, Section 565.2, as last amended by Section 9, Chapter 240, O.S.L. 2024 (47 O.S. Supp. 2025, Section 565.2), which relates to termination, cancellation, or nonrenewal of a franchise; and providing an effective date.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 47 O.S. 2021, Section 562, as last amended by Section 1, Chapter 119, O.S.L. 2025 (47 O.S. Supp. 2025, Section 562), is amended to read as follows:

Section 562. The following words, terms, and phrases, when used in Sections 561 through 567, 572, 578.1, 579, and 579.1 of this title, shall have the meanings respectively ascribed to them in this section, except where the context clearly indicates a different meaning:

1. "Motor vehicle" means any motor-driven vehicle required to be registered under the Oklahoma Vehicle License and Registration Act. The term motor vehicle does not include:

   a. recreational vehicles, as defined in the Recreational Vehicle Franchise Act, or

   b. powersport vehicles;

2. "New motor vehicle dealer" means any person, firm, association, corporation, or trust not excluded by this paragraph who sells, offers for sale, advertises to sell, receives deposits for vehicles, leases, or displays new motor vehicles and holds a bona fide contract or franchise in effect with a manufacturer or distributor authorized by the manufacturer to make predelivery preparation of such vehicles sold to purchasers and to perform post-sale work pursuant to the manufacturer's or distributor's warranty. As used herein, "authorized predelivery preparation" means the rendition by the dealer of services and safety adjustments on each new motor vehicle in accordance with the procedure and safety standards required by the manufacturer of the vehicle to be made before its delivery to the purchaser. "Performance of authorized

post-sale work pursuant to the warranty", as used herein, means the rendition of services which are required by the terms of the warranty that stands extended to the vehicle at the time of its sale and are to be made in accordance with the safety standards prescribed by the manufacturer. The term includes premises or facilities at which a person engages only in the repair of motor vehicles if repairs are performed pursuant to the terms of a franchise and motor vehicle manufacturer's warranty. For the purpose of Sections 561 through 567, 572, 578.1, 579, and 579.1 of this title, the terms new motor vehicle dealer and "new motor vehicle dealership" shall be synonymous. The term new motor vehicle dealer does not include:

a. receivers, trustees, administrators, executors, guardians, or other persons appointed by or acting under judgment or order of any court,

b. public officers while performing or in operation of their duties,

c. employees of persons, corporations, or associations enumerated in subparagraph a of this paragraph when engaged in the specific performance of their duties as such employees, or

d. a powersports vehicle dealer;

3. ~~"Motor vehicle salesperson"~~ "Salesperson" means any person, resident or nonresident, who, for gain or compensation of any kind,

either directly or indirectly, regularly or occasionally, by any form of agreement or arrangement, sells or negotiates for the sale, lease, or conveyance or arranges the financing of any new motor vehicle or powersports vehicle as an employee for any new motor vehicle dealer or powersports vehicle dealer to any one or more third parties;

4. "Commission" means the Oklahoma New Motor Vehicle Commission;

5. "Manufacturer" means any person, firm, association, corporation, partnership, trust, joint venture, or common entity thereof, resident or nonresident, that manufactures or assembles new and unused motor vehicles or new and unused powersport vehicles or that engages in the fabrication or assembly of motorized vehicles of a type required to be registered in this state;

6. "Distributor" means any person, firm, association, corporation, partnership, trust, joint venture, or common entity thereof, resident or nonresident, that, being authorized by the original manufacturer, in whole or in part sells or distributes new and unused motor vehicles to new motor vehicle dealers or new and unused powersport vehicles to powersport vehicle dealers, or that maintains distributor representatives;

7. "Factory branch" means any branch office maintained by a person, firm, association, corporation, partnership, trust, joint venture, or common entity thereof that manufactures or assembles

motor vehicles or powersport vehicles for the sale of motor vehicles or powersport vehicles to distributors, or for the sale of motor vehicles to new motor vehicle dealers, or for the sale of powersport vehicles to new powersport vehicle dealers, or for directing or supervising, in whole or in part, its representatives;

8. "Distributor branch" means any branch office similarly maintained by a distributor for the same purposes a factory branch is maintained;

9. "Factory representative" means any officer ~~or~~, agent, employee or person engaged as a representative of a manufacturer of motor vehicles or powersport vehicles or by a factory branch, for the purpose of making or promoting the sale of its motor vehicles or powersport vehicles, or for supervising or contacting its dealers or prospective dealers;

10. "Distributor representative" means any person, firm, association, corporation, partnership, trust, joint venture, or common entity thereof, and each officer ~~and~~, agent, or employee thereof engaged as a representative of a distributor or distributor branch of motor vehicles or powersport vehicles, for the purpose of making or promoting the sale of its motor vehicles or powersport vehicles, or for supervising or contacting its dealers or prospective dealers;

11. "Franchise" means any contract or agreement between a new motor vehicle dealer or a powersports vehicle dealer and a

manufacturer of a new motor vehicle or powersports vehicle or its distributor or factory branch by which the new motor vehicle dealer or new powersports vehicle dealer is authorized to engage in the activities of a new motor vehicle dealer or new powersports vehicle dealer as defined by this section;

12. "New or unused motor vehicle" means a vehicle which is in the possession of the manufacturer or distributor or has been sold only to the holder of a valid franchise granted by the manufacturer or distributor for the sale of that make of new vehicle so long as the manufacturer's statement of origin has not been assigned to anyone other than a licensed franchised new motor vehicle dealer of the same line-make;

13. "Area of responsibility" means the geographical area, as designated by the manufacturer, factory branch, factory representative, distributor, distributor branch, or distributor representative, in which the new motor vehicle dealer or powersports dealer is held responsible for the promotion and development of sales and rendering of service for the make of motor vehicle or powersports vehicle for which the new motor vehicle dealer or new powersports vehicle dealer holds a franchise or selling agreement;

14. "Off premises" means at a location other than the address designated on the new motor vehicle dealer's or new powersports vehicle dealer's license;

15. "Sponsoring entity" means any person, firm, association, corporation, or trust which has control, either permanently or temporarily, over the real property upon which the off-premises sale or display is conducted;

16. "Product" means new motor vehicles and new motor vehicle parts or new powersports vehicle and new powersports vehicle parts;

17. "Service" means motor vehicle or powersports vehicle warranty repairs including both parts and labor;

18. "Lead" means a consumer contact in response to a factory program designed to generate interest in purchasing or leasing a new motor vehicle or new powersports vehicle;

19. "Sell" or "sale" means to sell or lease;

20. "Factory" means a manufacturer, distributor, factory branch, distributor branch; or any common entity of a manufacturer, distributor, factory branch or distributor branch; or factory representative, or distributor representative, which manufactures or distributes vehicle products, motor vehicles or powersports vehicles, or that maintains factory representatives;

21. "Powersports vehicle" means any new or unused motorcycles, scooters, mopeds, all-terrain vehicles, and utility vehicles required to be registered under the Oklahoma Vehicle License and Registration Act, with the exception of all-terrain vehicles, utility vehicles, and motorcycles used exclusively for off-road use which are sold by a retail implement dealer;

22. "Powersports vehicle dealer" means any person, firm, or corporation, resident or nonresident, that is in the business of selling any new powersports vehicles except for retail implement dealers;

23. "Retail implement dealer" means a business engaged primarily in the sale of farm tractors as defined in Section 1-118 of this title or implements of husbandry as defined in Section 1-125 of this title or a combination thereof and is exempt from licensing by the Commission for the sale of all-terrain vehicles, utility vehicles, and motorcycles used exclusively for off-road use;

24. "Consumer data" means nonpublic personal information as defined in 15 U.S.C., Section 6809(4) as it existed on January 1, 2023, that is:

a. collected by a new motor vehicle dealer, and

b. provided by the new motor vehicle dealer directly to a manufacturer or third party acting on behalf of a manufacturer.

The term shall not include the same or similar data obtained by a manufacturer from any source other than the new motor vehicle dealer or new motor vehicle dealer's data management system;

25. "Fleet vehicle" means a new motor vehicle sold and titled or registered to a business and used for business purposes only; and

26. a. "Common entity" means any person, firm, association, corporation, partnership, trust, or joint venture

acting as a new motor vehicle dealer as defined by paragraph ~~20~~ 2 of this section:

(1) which is directly or indirectly controlled by or has more than thirty percent (30%) of its equity interest directly or indirectly owned, beneficially or of record, through any form of ownership structure, by a factory, manufacturer, manufacturer branch, distributor, or distributor branch, or

(2) which has more than thirty percent (30%) of its equity interest directly or indirectly controlled or owned, beneficially or of record, through any form of ownership structure, by one or more persons who also directly or indirectly control or own, beneficially or of record, more than thirty percent (30%) of the equity interests of a factory, manufacturer, manufacturer branch, distributor, or distributor branch.

b. Notwithstanding subdivision (1) or (2) of subparagraph a of this paragraph, an entity that would otherwise be considered a common entity of a distributor under subdivision (1) or (2) of subparagraph a of this paragraph because of its relation to a distributor is not considered a common entity of that distributor if:

(1) the distributor to which the entity is related was a licensed distributor on March 1, 2025,

(2) the entity is not a common entity of a manufacturer or an importer, and

(3) the distributor to which the entity is related is not, and has never been, a common entity of a manufacturer or an importer.

SECTION 2. REPEALER 47 O.S. 2021, Section 562, as last amended by Section 2, Chapter 448, O.S.L. 2025 (47 O.S. Supp. 2025, Section 562), is hereby repealed.

SECTION 3. AMENDATORY 47 O.S. 2021, Section 565.2, as last amended by Section 2, Chapter 145, O.S.L. 2024 (47 O.S. Supp. 2025, Section 565.2), is amended to read as follows:

Section 565.2. A. Irrespective of the terms, provisions, or conditions of any franchise, or the terms or provisions of any waiver, no manufacturer shall terminate, cancel, or fail to renew any franchise with a licensed new motor vehicle dealer <u>or new powersports vehicle dealer</u> unless the manufacturer has satisfied the notice requirements as provided in this section and has good cause for cancellation, termination, or nonrenewal. The manufacturer shall not attempt to cancel or fail to renew the franchise agreement of a new motor vehicle dealer in this state unfairly and without just provocation or without due regard to the equities of the dealer or without good faith as defined herein. As used herein, "good faith" means the duty of each party to any franchise agreement to act in a fair and equitable manner toward each other, with freedom from coercion or intimidation or threats thereof from each other.

B. Irrespective of the terms, provisions, or conditions of any franchise, or the terms or provisions of any waiver, good cause shall exist for the purpose of a termination, cancellation, or nonrenewal when:

1. The new motor vehicle dealer or new powersports vehicle dealer has failed to comply with a provision of the franchise, which provision is both reasonable and of material significance to the franchise relationship, or the new motor vehicle dealer or new powersports vehicle dealer has failed to comply with reasonable performance criteria for sales or service established by the manufacturer, and the new motor vehicle dealer or new powersports vehicle dealer has been notified by written notice from the manufacturer; and

2. The new motor vehicle dealer or new powersports vehicle dealer has received written notification of failure to comply with the manufacturer's reasonable sales performance standards, capitalization requirements, facility commitments, business-related equipment acquisitions, or other such remediable failings exclusive of those reasons enumerated in paragraph 1 of subsection C of this section, and the new motor vehicle dealer or new powersports vehicle

<u>dealer</u> has been afforded a reasonable opportunity of not less than six (6) months to comply with such a provision or criteria.

C. Irrespective of the terms, provisions, or conditions of any franchise agreement prior to the termination, cancellation, or nonrenewal of any franchise, the manufacturer shall furnish notification of such termination, cancellation, or nonrenewal to the new motor vehicle dealer <u>or new powersports vehicle dealer</u> and the Oklahoma New Motor Vehicle Commission as follows:

1. Not less than ninety (90) days prior to the effective date of the termination, cancellation, or nonrenewal unless for a cause described in paragraph 2 of this subsection;

2. Not less than fifteen (15) days prior to the effective date of the termination, cancellation, or nonrenewal with respect to any of the following:

a. insolvency of the new motor vehicle dealer <u>or new powersports vehicle dealer</u>, or the filing of any petition by or against the new motor vehicle dealer <u>or new powersports vehicle dealer</u> under any bankruptcy or receivership law,

b. failure of the new motor vehicle dealer <u>or new powersports vehicle dealer</u> to conduct its customary sales and service operations during its customary business hours for seven (7) consecutive business days, provided that such failure to conduct business shall not be due to an act of God or circumstances beyond the direct control of the new motor vehicle dealer, or

c. conviction of the new motor vehicle dealer or new powersports vehicle dealer of any felony which is punishable by imprisonment or a violation of the Federal Odometer Act; and

3. Not less than one hundred eighty (180) days prior to the effective date of the termination or cancellation where the manufacturer or distributor is discontinuing the sale of the product line.

The notification required by this subsection shall be by certified mail, return receipt requested, and shall contain a statement of intent to terminate, to cancel, or to not renew the franchise, a statement of the reasons for the termination, cancellation, or nonrenewal and the date the termination shall take effect.

D. Upon the affected new motor vehicle or new powersports vehicle dealer's receipt of the aforementioned notice of termination, cancellation, or nonrenewal, the new motor vehicle dealer shall have the right to file a protest of such threatened termination, cancellation, or nonrenewal with the Commission within thirty (30) days and request a hearing. The hearing shall be held within one hundred eighty (180) days of the date of the timely protest by the dealer and in accordance with the provisions of the Administrative Procedures Act, Sections 250 through 323 of Title 75 of the Oklahoma Statutes, to determine if the threatened cancellation, termination, or nonrenewal of the franchise has been for good cause and if the factory has complied with its obligations pursuant to subsections A, B, and C of this section and the factory shall have the burden of proof. Either party may request an additional one-hundred-eighty-day extension of the hearing date from the Commission. Approval of the requested extension may not be unreasonably withheld or delayed. If the Commission finds that the threatened cancellation, termination, or nonrenewal of the franchise has not been for good cause or violates subsection A, B, or C of this section, then it shall issue a final order stating that the threatened termination is wrongful. A factory shall have the right to appeal such order. During the pendency of the hearing and after the decision, through any appeal, the franchise shall remain in full force and effect, including the right to transfer the franchise. If the Commission finds that the threatened cancellation, termination, or nonrenewal is for good cause and does not violate subsection A, B, or C of this section, the new motor vehicle or new powersports vehicle dealer shall have the right to an appeal. During the pendency of the action, including the final decision or appeal, the franchise shall remain in full force and effect, including the right to transfer the franchise. If the ~~new motor vehicle~~ dealer prevails in the threatened termination action, the Commission shall award to the ~~new motor vehicle~~ dealer the attorney fees and costs incurred to defend the action.

E. If the factory prevails in an action to terminate, cancel, or not renew any franchise, the new motor vehicle or new powersports vehicle dealer shall be allowed fair and reasonable compensation by the manufacturer for:

1. New, current, and previous model year vehicle inventory which has been acquired from the manufacturer, and which is unused and has not been damaged or altered while in the ~~new motor vehicle~~ dealer's possession;

2. Supplies and parts which have been acquired from the manufacturer, for the purpose of this section, limited to any and all supplies and parts that are listed on the current parts price sheet available to the ~~new motor vehicle~~ dealer;

3. Equipment and furnishings, provided the ~~new motor vehicle~~ dealer purchased them from the manufacturer or its approved sources; and

4. Special tools, with such fair and reasonable compensation to be paid by the manufacturer within ninety (90) days of the effective date of the termination, cancellation, or nonrenewal, provided the ~~new motor vehicle~~ dealer has clear title to the inventory and other items and is in a position to convey that title to the manufacturer.

a. For the purposes of paragraph 1 of this subsection, fair and reasonable compensation shall be no less than the net acquisition price of the vehicle paid by the ~~new motor vehicle~~ dealer.

b. For the purposes of paragraphs 2, 3, and 4 of this subsection, fair and reasonable compensation shall be the net acquisition price paid by the ~~new motor vehicle~~ dealer less a twenty-percent (20%) straight-line depreciation for each year following the dealer's acquisition of the supplies, parts, equipment, furnishings, and/or special tools.

F. 1. If a factory prevails in an action to terminate, cancel, or not renew any franchise and the new motor vehicle <u>or new powersports vehicle</u> dealer is leasing the dealership facilities, the manufacturer shall pay a reasonable rent to the lessor in accordance with and subject to the provisions of this subsection. Nothing in this section shall be construed to relieve a new motor vehicle <u>or new powersports vehicle</u> dealer of its duty to mitigate damages.

Such reasonable rental value shall be paid only to the extent the dealership premises are recognized in the franchise and only if they are:

a. used solely for performance in accordance with the franchise. If the facility is used for the operation of more than one franchise, the reasonable rent shall be paid based upon the portion of the facility utilized by the franchise being terminated, canceled, or nonrenewed, and

b. not substantially in excess of facilities recommended by the manufacturer.

2. If the facilities are owned by the new motor vehicle or new powersports vehicle dealer, or a related entity as defined in 26 U.S.C.A., Section 267(b), or a member, partner or shareholder of the dealership, within ninety (90) days following the effective date of the termination, cancellation, or nonrenewal, except a termination, cancellation, or nonrenewal for a cause listed in paragraph 2 of subsection C of this section, at the dealer or related entity's written request, the manufacturer shall either:

a. locate a qualified purchaser who will offer to purchase the dealership facilities at a reasonable price,

b. locate a qualified lessee who will offer to lease the premises for the remaining lease term at the rent set forth in the lease, or

c. lease the dealership facilities at a reasonable rental value for the portion of the facility that is recognized in the franchise agreement for one and one-half (1.5) years, or

d. purchase the dealer's existing dealership facility and real estate at its fair market value. If the factory and dealer cannot agree on the fair market value of the terminated franchise or agree to a process to determine the fair market value, then the factory and dealer shall utilize the process described in paragraph 6 of subsection G of this section. If a manufacturer or distributor purchases a dealership facility and real estate, then it shall be entitled to sole ownership, possession, use, and control of any items, buildings, or property that were included in the contract to purchase.

3. If the facilities are leased by the new motor vehicle <u>or new powersports vehicle</u> dealer from an entity other than a related entity as defined in 26 U.S.C.A., Section 267(b), or a member, partner, or shareholder of the dealership, within ninety (90) days following the effective date of the termination, cancellation, or nonrenewal the manufacturer will either:

a. locate a tenant or tenants satisfactory to the lessor, who will sublet or assume the balance of the lease,

b. arrange with the lessor for the cancellation of the lease without penalty to the ~~new motor vehicle~~ dealer, or

c. failing the foregoing, lease the dealership facilities at a reasonable rent for the portion of the facility that is recognized in the franchise agreement for one (1) year or the remainder of the lease, whichever is less.

4. The manufacturer shall not be obligated to provide assistance under this section if the new motor vehicle <u>or new powersports vehicle</u> dealer:

a. fails to accept a bona fide offer from a prospective purchaser, sublessee, or assignee,

b. refuses to execute a settlement agreement with the manufacturer or lessor if such agreement with the manufacturer or lessor would be without cost to the ~~new motor vehicle~~ dealer, or

c. fails to make written request for assistance under this section within ninety (90) days after the effective date of the termination, cancellation, or nonrenewal.

5. The manufacturer shall be entitled to occupy and use any space for which it pays rent required by this section.

G. In addition to the repurchase requirements set forth in subsections E and F of this section, in the event the termination, cancellation, or nonrenewal is the result of a discontinuance of a product line, the manufacturer or distributor shall compensate the new motor vehicle or new powersports vehicle dealer as follows:

1. In an amount equivalent to the fair market value of the terminated franchise as of the date immediately preceding the manufacturer's or distributor's announcement or provide the new motor vehicle dealer with a replacement franchise on substantially similar terms and conditions as those offered to other same line-make dealers;

2. If the facilities are owned by the new motor vehicle or new powersports vehicle dealer or a related entity as defined in 26 U.S.C.A., Section 267(b), or a member, partner, or shareholder of the dealership, and the owner has not sold the existing dealership facility and real estate within the later of one hundred eighty (180) days of listing the property for sale or ninety (90) days after the effective date of the termination, then, upon the written request of the dealer, the manufacturer or distributor shall purchase the dealer's existing dealership facility and real estate. The facility and real estate shall be valued as if a new motor vehicle or new powersports vehicle dealership continues to operate on the property. If the factory and dealer cannot agree on the value of the terminated franchise or agree to a process to determine the value, then the factory and dealer shall utilize the process described in paragraph 6 of this subsection. If a manufacturer or distributor purchases a dealership facility and real estate, then it

shall be entitled to sole ownership, possession, use, and control of any items, buildings, or property that were included in the contract to purchase;

3. If the facilities are leased by the new motor vehicle <u>or new powersports vehicle</u> dealer from an entity other than a related entity as defined in 26 U.S.C.A., Section 267(b), or a member, partner or shareholder of the dealership, lease the dealership facilities at a reasonable rent for the remainder of the lease;

4. Any amount of pecuniary loss to the new motor vehicle <u>or new powersports vehicle</u> dealership proximately caused by the discontinuation of a product line, including, but not limited to, the cost of terminating services such as the dealership management system contract;

5. The new motor vehicle <u>or new powersports vehicle</u> dealer may immediately request payment under this section following the announcement in exchange for canceling any further franchise rights, except payments owed to the new motor vehicle <u>or new powersports vehicle</u> dealer in the ordinary course of business, or may request payment under this section upon the final termination, cancellation, or nonrenewal of the franchise. In either case, payment under this section shall be made not later than ninety (90) days after the fair market value is determined, or the lease agreement is provided and other reasonable documentation is provided to the manufacturer or

distributor sufficient to establish other pecuniary losses, whichever is later; and

6. If the factory and new motor vehicle <u>or new powersports vehicle</u> dealer cannot agree on the value of the terminated franchise or real estate, or agree to a process to determine the value, then, within thirty (30) days of a written request by dealer, the factory shall select one appraiser, and the dealer shall select one appraiser who shall make an independent appraisal. The appraisers will be state-certified general real estate appraisers and be in good standing with the Oklahoma Real Estate Appraisal Board. Before entering upon their duties, such appraisers shall take and subscribe an oath, before a notary public or some other person authorized to administer oaths, that they will perform their duties faithfully and impartially to the best of their ability. If the appraisals are within ten percent (10%) of each other, the average of the two appraisals shall constitute the value. If the two appraisals differ by more than ten percent (10%), the two appraisers may appoint a third appraiser who shall review the two appraisals. The third appraisal, when taken with the first two appraisals and averaged among the three, shall establish the value. The cost of the third appraiser shall be shared equally by the factory and dealer. The appraisers shall make a valuation and determine the amount of compensation to be paid by the factory to the dealer. The factory will then have ninety (90) days to complete the transaction, unless

otherwise agreed to by the parties. The factory and the dealer shall each be responsible for the appraiser it retains.

SECTION 4. REPEALER 47 O.S. 2021, Section 565.2, as last amended by Section 9, Chapter 240, O.S.L. 2024 (47 O.S. Supp. 2025, Section 565.2), is hereby repealed.

SECTION 5. This act shall become effective November 1, 2026.

60-2-17177 JBH 03/23/26